

		Development Agency (LWDA); and twenty-five percent (25%), or \$68,953.31, payable to the Aggrieved Employees in accordance with the terms of the Amended Settlement Agreement. Final Accounting is set for November 18, 2027, at 2:00 p.m. in Department CX102. Counsel shall submit the final report of the settlement administrator regarding the status of the settlement administration no later than sixteen (16) court days prior to the hearing. The final report must include all information necessary for the Court to determine the total amount of the settlement funds actually paid to the Aggrieved Employees and all others in accordance with the Settlement, as well as the amount of unclaimed funds, if any, remitted to the State Controller's Unclaimed Property Fund. If the settlement funds are not completely disbursed by the report deadline, counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. Plaintiffs to give notice of this ruling, including to the LWDA, within five (5) court days, and file proof of service.
116	2025-01480077 Serrano v. Portermatt Electric, Inc.	Motion for Approval of Settlement Under PAGA Plaintiff Adan Serrano's Motion for Approval of PAGA Settlement is CONTINUED to November 19, 2026, at 2:00 p.m. in Department CX102 in order to give Plaintiff's counsel an opportunity to address the issues identified below. On 5/1/2025, Plaintiff Adan Serrano filed a PAGA complaint against Defendant Portermatt Electric, Inc., alleging a single cause of action for PAGA penalties related to meal period violations, rest period violations, minimum and overtime wage violations, business expense reimbursement violations, sick leave violations, wage statement violations, and untimely payment of final wages. (ROA #2.) On 6/9/2026, Defendant answered. (ROA #14.) On 1/26/2026, the parties attended mediation and negotiated a complete settlement of the claims by accepting the mediator's proposal. (ROA #34.) On 6/5/2026, Plaintiff filed the instant Motion for Approval of PAGA Settlement (ROA #48), and submitted for the Court's review the PAGA Settlement Agreement ("Settlement Agreement") and proposed notice/cover letter to aggrieved employees that will accompany the payment to them. The motion seeks approval of the parties' proposed settlement of Plaintiff's PAGA claims for the non-reversionary gross settlement amount (GSA) of \$240,000. The settlement includes the claims of 311 PAGA Aggrieved Employee, defined as "current or former non-exempt employee[s] that worked for Defendant at any location in California at any time during the PAGA Period." The PAGA Period is 2/25/2024 through 4/27/2026. The Court concludes that an attorneys' fee award totaling \$72,000 or 30% of the GSA, constituting a 0.90 multiplier of the lodestar amount, is fair, adequate, and reasonable for a settlement of this size, including considering the action's contingent nature and the results achieved.

Further, the Court has identified the following issues with the moving papers, which must be addressed by Plaintiff's counsel before approval can be granted:

1. The Settlement Agreement includes an escalator clause. But this is a motion to have the settlement fully approved, and so a specific GSA must be approved upon the granting of this motion. At this point, the parties should know or be able to determine the number of Aggrieved Employees and qualifying pay periods based on the PAGA Period.
2. The Court requires a more detailed valuation analysis of why the settlement is fair, adequate, and reasonable in light of the strengths and weaknesses of the claims. Although counsel's analysis provides the maximum realistic recovery on each claim asserted in the operative complaint and a summary of the defenses asserted by Defendant and some of the manageability and merits risks, counsel did not include an analysis on the actual discount amounts applied to each claim for any defenses or risks; the adjusted value of each claim after applying any discounts; or an analysis of the GSA as a percentage of the maximum realistic recovery and the risk-adjusted recovery. Also, although the LWDA notice letter and the complaint also allege sick pay violations warranting PAGA penalties, counsel's valuation analysis does not separately address this claim.
3. Counsel's declaration discloses that "Plaintiff entered into as separate and confidential individual settlement and does not request a service award." (Counsel Decl., ¶ 8.) However, Plaintiff has not provided the Court with a copy of his individual settlement agreement. The Court must review Plaintiff's individual settlement agreement as part of evaluating whether the instant settlement is fair, adequate, and reasonable and as part of determining whether and how much to award Plaintiff for any enhancement. Given that Plaintiff's individual settlement agreement is purportedly confidential, Plaintiff's counsel may submit the agreement for the Court review in camera by lodging a copy with the Court before the hearing.
4. Plaintiff's counsel must attest as to whether there is a fee-splitting agreement with any other counsel, or confirm there is none.
5. The Settlement Agreement should specify that the Court's continuing jurisdiction is pursuant to California Code of Civil Procedure section 664.6.

Plaintiff's counsel must also provide a revised notice/cover letter to aggrieved employees that will accompany the payment to them, with the following revisions:

1. The specific awards and disbursements should be revised to reflect the amounts set forth in this order.

Plaintiff's counsel must also provide a revised [Proposed] Order Approving PAGA Settlement and Judgment with the following revisions:

1. The specific awards and disbursements should be revised to reflect the amounts set forth in this order.
2. The revised proposed order should also attach amended versions of the settlement agreement and proposed cover letter.

		The Court further refers Plaintiff’s counsel to the “Guidelines for Approval of Class Action Settlements & PAGA Settlements” posted on the Court’s website for Department CX102, available at https://voypubapps.occourts.org/complex-civil-calendar. Plaintiff’s counsel must file supplemental papers addressing the Court’s concerns no later than sixteen (16) court days prior to the continued hearing date. Counsel must also provide redlined versions of all revised papers and an explanation of how the pending issues were resolved with precise citation to any revisions. A supplemental declaration or brief that simply asserts the issues have been resolved is insufficient and will result in a continuance. If supplemental papers addressing all of the Court’s concerns cannot be filed by the pre-hearing deadline, Class Counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. Plaintiff to give notice of this ruling, including to the LWDA, within five (5) court days, and file proof of service.